

Trial Balance

Trial Balance

The Trial Balance is a fundamental accounting statement prepared at the end of an accounting period (month, quarter, or year) that lists all the balances of every ledger account — both debit and credit — in a single statement. Its primary purpose is to verify the arithmetic accuracy of the double-entry bookkeeping system by checking whether the total of all debit balances equals the total of all credit balances. If the Trial Balance tallies (total debits = total credits), it provides reasonable assurance that the ledger postings are arithmetically correct — though it does not guarantee the absence of errors, as several types of errors can exist without affecting the equality of debits and credits.

The Trial Balance serves as the bridge between the ledger accounts and the final financial statements (Trading Account, Profit & Loss Account, and Balance Sheet). All accounts listed in the Trial Balance are used to prepare these statements. For the CS Executive examination, the Trial Balance is frequently tested — either as a direct question to prepare it from given ledger balances, or as a preliminary step in a larger final accounts question. A thorough understanding of what it captures — and crucially, what it misses — is essential for scoring well.

Lite — Quick Review (1h-1d)

Rapid summary for last-minute revision before your exam.

Purpose of Trial Balance:

- Verifies arithmetical accuracy of double-entry system
- Acts as a summary of all ledger balances before financial statements
- Identifies whether total debits = total credits

Normal Balances of Accounts (Memorise):

Account Type	Normal Balance	Examples
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Assets	Debit	Cash, Bank, Debtors, Stock, Machinery, Furniture
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Liabilities	Credit	Creditors, Bills Payable, Loans, Bank Overdraft
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Capital	Credit	Capital A/c
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Drawings	Debit	Drawings A/c
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Revenue / Income	Credit	Sales, Commission Received, Rent Received, Interest Received
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Purchases Returns	Credit	Returns Inward is debit, Returns Outward is credit
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Sales Returns	Debit	Returns Inward A/c
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Expenses	Debit	Rent, Salary, Wages, Carriage, Insurance, Discount Allowed
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Purchases	Debit	Purchases A/c
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Trial Balance Format:

Trial Balance as at 31st March 2025

Particulars	L.F.	Dr. (₹)	Cr. (₹)
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Cash	xxx	x,xxx	
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Bank		x,xxx	
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Sundry Debtors			x,xxx
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Stock (Opening)			x,xxx
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Machinery			x,xxx
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Furniture			x,xxx
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Sundry Creditors		x,xxx	
Bills Payable		x,xxx	
Capital		x,xxx	
Drawings	xxx		
Purchases		x,xxx	
Sales	x,xxx		
Purchases Returns		x,xxx	
Sales Returns		x,xxx	
Wages		x,xxx	
Rent		x,xxx	
Salaries		x,xxx	
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x,xxx	x,xxx		

Errors NOT Disclosed by Trial Balance (Memorise for Exam):

Error Type Example

Errors of Omission Sale of ₹5,000 to Ram completely omitted

Errors of Commission Posted to wrong person's account (wrong debtor)

Errors of Principle Revenue expenditure debited to Asset A/c

Compensating Errors Sales undercast by ₹1,000 AND Purchases undercast by ₹1,000

Complete Reversal Dr. Sales A/c, Cr. Cash A/c for a cash sale

Errors of Original Entry Both sides correct but wrong amount

Only Errors that Make Trial Balance NOT Tally:

Posting to the wrong side of an account

Omitting to post one side of a journal entry

Wrong amount posted on one side only

Posting to a wrong account where that account has a different balance on each side

Exam Tip: If the Trial Balance doesn't agree, first check for: (1) one-sided postings, (2) balancing errors, (3) wrong casting of any account, (4) accounts omitted entirely. The difference is often a simple transposition (e.g., ₹270 written as ₹720).

Exam Tip: In exam questions, before preparing the Trial Balance, list all accounts with their balances and classify them correctly — assets/debit expenses on the debit side, liabilities/credit revenues/capital on the credit side. Common mistakes include putting Purchases Returns on the debit side or Sales Returns on the credit side — they are opposite of their parent accounts.

Standard — Regular Study (2d-2mo)

Standard content for students with a few days to months.

Meaning and Purpose of Trial Balance

A Trial Balance is a statement prepared with the help of ledger balances (or as a summary extracted directly from the books of accounts) to verify that the total of debit balances equals the total of credit balances. It is prepared in columnar form with debits in one column and credits in another, typically as at the last day of the accounting year.

Objectives of Preparing a Trial Balance:

Arithmetic Verification: To check whether the total of all debits equals the total of all credits, which is the fundamental requirement of double-entry bookkeeping.

Summary of Ledger: It provides a compact summary of all ledger accounts at one place, making it easy to review the state of the books before preparing financial statements.

Error Detection: While it detects some types of errors (one-sided postings, casting mistakes), it does not detect all errors — a tallied Trial Balance is a necessary but not sufficient condition for correct books.

Base for Financial Statements: The balances in the Trial Balance are directly used to prepare the Trading Account, Profit & Loss Account, and Balance Sheet.

Quick Reference: Management and auditors can quickly review the financial position from the Trial Balance without going through every ledger page.

Preparation Methods:

There are two methods of preparing a Trial Balance:

Method 1: Total Method

Both debit totals AND credit totals of each account are shown in the Trial Balance. Under this method, each account in the ledger is looked at and the total of its debit side and total of its credit side are entered in separate columns. This method is less commonly used in practice.

Method 2: Balance Method (Most Common in Exams)

Only the balance (debit or credit) of each account is shown in the Trial Balance. This is the standard method used in CS Executive exams and in practice.

Account Type What Appears in Trial Balance

Asset accounts with Debit balance Shown on Debit side

Liability/Capital/Revenue with Credit balance Shown on Credit side

Expense accounts with Debit balance Shown on Debit side

Accounts with zero balance Not shown

Format of Trial Balance

The standard format follows this structure:

Trial Balance as at 31st March 2025

Particulars	L.F.	Dr. (₹)	Cr. (₹)

Cash		12,500	
Bank		45,000	
Sundry Debtors		80,000	
Closing Stock		25,000	
Machinery		200,000	
Furniture		30,000	
Sundry Creditors			55,000
Bills Payable			20,000

Capital	2,50,000	
Drawings	15,000	
Purchases	1,80,000	
Sales	3,20,000	
Purchases Returns		12,000
Sales Returns	8,000	
Wages	22,000	
Rent	8,000	
Salaries	18,000	
Carriage Inward	5,500	
Carriage Outward	3,200	
Discount Allowed	2,800	
Discount Received		4,000
Commission Received		6,000
Bank Charges	1,000	
6,57,000	6,57,000	

Classification of Errors

Understanding which errors affect the Trial Balance and which do not is critical for the CS Executive exam. Questions on error identification and rectification are frequently asked.

Classification of Errors:

Category A: Errors that DO Make the Trial Balance NOT Tally

These are errors where only ONE side of a transaction is affected, or where the effect on debit and credit sides is unequal:

Posting to Wrong Side: Debit entry credited instead of debited, or vice versa — the difference becomes 2× the amount

Omission of One Side: Entire credit (or debit) side of a transaction not posted — difference equals the full amount

Wrong Amount on One Side Only: Correct amount debited but wrong amount credited — difference equals the error amount

Posting to Wrong Account (where accounts have different balances): Affects two accounts differently, making totals unequal

Incorrect Balancing: An account incorrectly balanced — the balancing figure is wrong

Category B: Errors that Do NOT Make the Trial Balance Tally

These errors affect both debit and credit sides equally, so the Trial Balance still agrees even though books are incorrect:

1. Errors of Omission (Complete):

A transaction is entirely omitted from the books — neither debit nor credit is posted. The Trial Balance tallies because nothing was recorded at all.

Example: A credit sale to Arun for ₹15,000 is completely omitted — no entry made anywhere.

Rectification: Pass the omitted entry:

Arun A/c Dr. 15,000

To Sales A/c 15,000
(Being credit sale to Arun omitted previously, now rectified)

2. Errors of Commission:

An entry is posted to the correct side but in the wrong person's account (wrong debtor/creditor).

Example: Sales of ₹8,000 to Vikram posted to the account of Deepak instead.

Rectification:

Vikram A/c Dr. 8,000
To Deepak A/c 8,000
(Being error of commission rectified — amount posted to wrong person)

3. Errors of Principle:

An entry is posted to the correct side but to the wrong type of account (e.g., revenue item posted to an asset account instead of an expense account).

Example: Repairs to machinery ₹5,000 debited to Machinery A/c instead of Repairs A/c.

Rectification:

Repairs A/c Dr. 5,000
To Machinery A/c 5,000
(Being repairs debited to wrong account — error of principle rectified)

4. Compensating Errors:

Two errors exist in opposite directions that cancel each other out.

Example: Sales undercast by ₹2,000 AND Purchases also undercast by ₹2,000 — Trial Balance tallies but both are wrong.

Rectification: Pass entries to correct both:

Suspense A/c / Sales A/c (as needed) Dr./Cr.
To/P from Suspense A/c (amount)

5. Complete Reversal of Entries:

Both debit and credit entries are posted on the wrong sides — i.e., what should have been debited is credited and vice versa.

Example: Cash received from Debtor ₹4,000 posted as: Dr. Cash A/c ₹4,000, Cr. Sales A/c ₹4,000 (instead of Dr. Cash, Cr. Debtor).

Rectification:

Debtor A/c Dr. 8,000 (or net effect after reviewing)
To Cash A/c 4,000
To Sales A/c 4,000
(Being complete reversal of entries rectified)

6. Errors of Original Entry:

The correct amounts are recorded in the journal but at the wrong figure — both debit and credit are for the same wrong amount.

Example: Invoice for ₹7,000 recorded as ₹700 in the books (both sides equal but wrong).

Rectification:

Suspense A/c Dr. 6,300
To Sales A/c 6,300

(Being wrong amount (₹700 instead of ₹7,000) corrected — difference = ₹6,300)

Suspense Account — The Temporary Fix

When the Trial Balance doesn't agree, the difference is placed in a Suspense Account. The Suspense Account is a temporary account created to make the Trial Balance agree while errors are located and rectified.

Creating the Suspense Account:

- If Debit side < Credit side Suspense Account has a Credit Balance (Short by Credit)
- If Debit side > Credit side Suspense Account has a Debit Balance (Short by Debit)

Example:

Trial Balance doesn't agree — Debit side is ₹2,000 short:

Suspense A/c Dr. 2,000

(Difference placed here to make Trial Balance agree)

Rectification through Suspense Account:

Once an error is located, the Suspense Account is used to correct it. Eventually, when all errors are found, the Suspense Account becomes zero.

Example: A credit sale to Meera ₹6,000 was omitted — rectifying through Suspense:

Meera A/c Dr. 6,000

To Suspense A/c 6,000

(Being omitted credit sale to Meera now rectified)

Key Point: When the Suspense Account has a credit balance (difference put on credit side), the rectification entry will debit Suspense A/c. When Suspense has a debit balance, the rectification entry will credit Suspense A/c.

Golden Rules Application in Trial Balance Preparation

The trial balance preparation is essentially an application of the three golden rules of debit and credit:

Account Type	Golden Rule	Debit/Credit	Normal Balance
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Real — Assets	Debit what comes in, Credit what goes out	More = Debit	Debit
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Personal — Person receiving	Debit the Receiver	More = Debit	Debit
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Personal — Person giving	Credit the Giver	More = Credit	Credit
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Nominal — Expenses/Losses	Debit all Expenses and Losses	More = Debit	Debit
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Nominal — Revenues/Gains	Credit all Incomes and Gains	More = Credit	Credit
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Steps to Prepare Trial Balance:

Balance each ledger account (calculate Debit total and Credit total, find the difference)

List all accounts that have a Debit balance on the Debit side of Trial Balance

List all accounts that have a Credit balance on the Credit side of Trial Balance

Add both columns — they must be equal

If not equal, create a Suspense Account for the difference

PYQ Patterns

Prepare Trial Balance from given ledger balances — Direct 8–10 marks question, usually 15–20 accounts given. Key: correctly classify each account and put them on the right side.

Identify errors that make Trial Balance not tally vs. errors that don't — 4–6 marks conceptual question. Be precise with examples.

Rectification entries with Suspense Account — 8–10 marks. Pass journal entries to rectify various errors and show how Suspense Account is closed.

Trial Balance followed by Final Accounts — A combined 15–20 marks question where Trial Balance is prepared first, then Trading/P&L/Balance Sheet is prepared from it.

Question from June 2023 CS Executive: "From the following balances, prepare the Trial Balance as on 31st March 2023: Capital ₹2,00,000; Machinery ₹1,50,000; Opening Stock ₹40,000; Purchases ₹3,20,000; Sales ₹4,50,000; Wages ₹20,000; Salaries ₹15,000; Rent ₹8,000; Debtors ₹60,000; Creditors ₹45,000; Cash at Bank ₹42,000; Cash in Hand ₹5,000; Drawings ₹10,000; Return Inwards ₹12,000; Return Outwards ₹7,000; Carriage Inward ₹4,000; Carriage Outward ₹2,500; Bad Debts ₹1,500; Provision for Doubtful Debts ₹3,000; Commission Received ₹5,000." [10 marks]

Approach: Start by listing all accounts in two groups — Debit balances (Assets + Expenses + Returns Inwards + Drawings) and Credit balances (Liabilities + Capital + Revenues + Returns Outwards + Provisions). Then prepare the format. Commission Received and Provision for Doubtful Debts go on the Credit side.

Extended — Deep Study (3mo+)

Comprehensive coverage for students on a longer study timeline.

Comprehensive Study of Errors and Their Rectification

Understanding the Nature of Errors:

All accounting errors fall into two broad categories based on their effect on the Trial Balance:

Trial Balance-Tallying Errors (Both sides equally affected):

These errors, by definition, affect both debit and credit sides equally — either because both sides are recorded correctly at the wrong amount, or because both sides are recorded to wrong accounts in a way that the net effect cancels out.

Trial Balance-Not-Tallying Errors (One side only affected):

These are one-sided errors — where the debit or credit side of an entry is incorrectly recorded, omitted, or posted to the wrong account in a way that changes the equality of the Trial Balance.

Detailed Rectification Framework:

Step 1: Identify the Type of Error

Scenario	Error Type	Rectification Direction
Transaction completely omitted	Error of Omission	Pass full entry
Posted to correct side but wrong person	Error of Commission	Transfer from wrong to correct
Posted to correct side but wrong type of account	Error of Principle	Transfer from wrong type to correct type

Both sides posted correctly but at wrong amount Error of Original Entry Correct the amount via Suspense

Debit and credit completely reversed Complete Reversal Two entries needed to correct

Two independent errors cancel each other Compensating Error Rectify each individually

One side posted, other side omitted One-sided Error Use Suspense to make TB agree

Step 2: Decide Whether to Use Suspense Account

- If Trial Balance is already prepared and tallied: Rectify directly without Suspense
- If Trial Balance was not tallied and Suspense Account exists: Use Suspense Account to rectify

Step 3: Pass the Rectification Journal Entry

Every rectification entry must:

Explain clearly what error is being rectified

Identify the wrong account (debit or credit)

Identify the correct account

Use Suspense if Trial Balance was not tallied

Comprehensive Examples:

Example 1: Error of Commission

Sales of ₹12,000 to Rakesh was posted to the account of Rajesh.

Rakesh A/c Dr. 12,000

To Rajesh A/c 12,000

(Being sales of ₹12,000 posted to wrong person — error of commission rectified)

Example 2: Error of Principle

Amount spent on repair of building ₹8,000 was debited to Building A/c (Capital expenditure instead of Revenue).

Building Repairs A/c Dr. 8,000

To Building A/c 8,000

(Being repairs to building wrongly debited to asset — error of principle rectified)

Example 3: Error of Original Entry

Goods sold to Ashok for ₹6,000 was recorded as ₹600 in the books (both debit and credit sides wrong by the same amount).

Ashok A/c Dr. 5,400

To Sales A/c 5,400

(Being undercasting of sales by ₹5,400 (6,000 – 600) rectified)

Example 4: Complete Reversal

Cash received from debtor Rahul ₹9,000 was incorrectly recorded as: Dr. Creditors A/c ₹9,000 and Cr. Cash A/c ₹9,000 (completely reversed).

Cash A/c Dr. 18,000

Rahul A/c Dr. 9,000

To Creditors A/c 27,000

(Being complete reversal of entries corrected — cash received from Rahul was wrongly debited to Creditors)

Example 5: Compensating Error

Wages account was undercast by ₹3,000 AND Commission Received was also undercast by ₹3,000 — Trial Balance tallies but both accounts are wrong.

Wages A/c Dr. 3,000
To Commission Received A/c 3,000
(Being compensating error of undercasting rectified)

Example 6: One-Sided Error (Posting Omitted)

A credit purchase of goods from Vikas ₹25,000 was not posted to the ledger at all.

Purchases A/c Dr. 25,000
To Vikas A/c 25,000
(Being credit purchase from Vikas not posted, now rectified through Suspense A/c)

Advanced Trial Balance Preparation

When Some Accounts Have No Balance:

Some accounts may have equal debits and credits (they balance to zero) — these are NOT shown in the Trial Balance. Only accounts with a net debit or credit balance appear.

Contra Entries in Trial Balance:

Some accounts like "Bank" and "Cash" are sometimes called "Contra Accounts" when they appear on both sides of the Trial Balance in different capacities (e.g., Bank overdraft on the credit side and Cash on the debit side). However, the term "contra" in Trial Balance context is less significant — what matters is the nature of the balance.

Trial Balance vs. Balance Sheet:

- Trial Balance is an internal document — not a financial statement
- Balance Sheet is an external financial statement — presented to stakeholders
- Both list assets (debit) and liabilities + capital (credit), but the Balance Sheet includes adjustments (closing stock, provisions, prepaid/accrued items) that may not appear in the Trial Balance

Adjusted Trial Balance:

When a Trial Balance is prepared after considering all adjustments (depreciation, provisions, prepaid expenses, outstanding expenses, closing stock), it is called an Adjusted Trial Balance. This is the basis for preparing the final financial statements.

Comprehensive Practice Problem

Problem: Prepare the Trial Balance from the following ledger balances of M/s Karan Traders as on 31st March 2025:

Account	Balance (₹)	Nature
Capital	3,00,000	Credit
Land & Building	1,50,000	Debit
Plant & Machinery	2,00,000	Debit
Furniture	40,000	Debit
Opening Stock	50,000	Debit
Purchases	4,50,000	Debit

Sales 6,20,000 Credit
 Purchases Returns 15,000 Credit
 Sales Returns 18,000 Debit
 Wages 30,000 Debit
 Salaries 45,000 Debit
 Rent 12,000 Debit
 Insurance 5,000 Debit
 Sundry Debtors 75,000 Debit
 Sundry Creditors 48,000 Credit
 Bills Receivable 20,000 Debit
 Bills Payable 15,000 Credit
 Cash at Bank 55,000 Debit
 Cash in Hand 8,000 Debit
 Drawings 20,000 Debit
 Bank Charges 1,500 Debit
 Discount Allowed 4,000 Debit
 Discount Received 3,500 Credit
 Commission Received 7,000 Credit

Solution:

Trial Balance of M/s Karan Traders as on 31st March 2025

Particulars	L.F.	Dr. (₹)	Cr. (₹)

Land & Building		1,50,000	
Plant & Machinery		2,00,000	
Furniture		40,000	
Opening Stock		50,000	
Purchases		4,50,000	
Sales Returns		18,000	
Wages		30,000	
Salaries		45,000	
Rent		12,000	
Insurance		5,000	
Sundry Debtors		75,000	
Bills Receivable		20,000	
Cash at Bank		55,000	
Cash in Hand		8,000	
Drawings		20,000	
Bank Charges		1,500	
Discount Allowed		4,000	
Sundry Creditors			48,000
Bills Payable			15,000
Capital			3,00,000
Sales		6,20,000	
Purchases Returns			15,000
Discount Received			3,500
Commission Received			7,000

11,33,500		11,33,500	

Error Detection Sequence for Non-Tallying Trial Balance

When a Trial Balance doesn't agree, follow this systematic sequence:

Step 1: Re-check the Totals

- Verify addition of both columns
- Check for copying errors from ledger to Trial Balance
- Check for amounts written in wrong columns (debit amount in credit column, etc.)

Step 2: Check the Difference

- Halve the difference — if it becomes zero, a figure may have been posted to the wrong side
- Check if the difference is divisible by 9 — if yes, it could be a transposition error (e.g., 108 written as 801, difference = 693, $693/9 = 77$)
- Check if the difference is divisible by 2 — if yes, it could be posting to the wrong side of an account

Step 3: Locate the Error

- Check each account balance against its ledger page
- Verify all opening balances are brought forward correctly
- Check for accounts with only one entry (debit or credit posted but not the other)

Step 4: Create Suspense Account and Rectify

- Place the difference in Suspense Account (on the lighter side)
- Systematically locate and rectify errors
- Each rectification will reduce the Suspense Account balance
- When all errors are found, Suspense Account becomes zero

Special Considerations in Trial Balance

Accounts with Both Debit and Credit Balances:

Some accounts (like bank overdraft) are technically liabilities and show a credit balance, not a debit balance — even though the bank account is involved. In a properly maintained cash book, "Bank" always shows a debit balance (positive bank balance), while "Bank Overdraft" or "Loan (Bank)" shows a credit balance.

Petty Cash Book and Trial Balance:

The Imprest amount of petty cash (e.g., ₹5,000) appears as cash in hand in the Trial Balance. The analysis columns in the Petty Cash Book are for internal analysis only and do not affect the Trial Balance directly.

Closing Stock and Trial Balance:

Closing Stock appears on the Credit side of the Trial Balance because it is a reduction of Purchases (it is not a liability, but its inclusion as closing inventory reduces the expense of closing stock). However, in the final accounts, Closing Stock appears as an asset on the Balance Sheet and as a credit in the Trading Account.

Depreciation and Trial Balance:

Accumulated Depreciation appears on the Credit side of the Trial Balance because it is a contra-asset account (it reduces the book value of the asset). The depreciation expense for the year appears on the Debit side.

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